

PREMIUM RESOURCE · AI & FINANCE AUTOMATION

AP Invoice Automation Implementation Guide

A phase-by-phase implementation guide for AP invoice automation — from vendor selection through 90-day post-implementation review. Includes acceptance criteria, benchmark data, and common failure modes.

4 Phases

16 Key Steps

Benchmark Data

Premium · €45

4 phases

16 steps

UAT guidance

Benchmarks

About This Guide

This guide covers the complete AP invoice automation implementation lifecycle from vendor selection through post-implementation review. Each phase includes the key decisions, deliverables, and common failure modes — based on real implementations across European ERP environments.

MOST COMMON FAILURE POINTS

Vendor selection — selecting a vendor without a proof-of-concept on your ERP version. **Programme design** — undocumented approval exceptions. **Testing** — UAT conducted without a written test script. **Go-live** — insufficient supplier communication before go-live day.

Phase 1 — Vendor Selection

- ☐ **Define mandatory requirements**
Mandatory: ERP connector certification, OCR accuracy benchmark on your invoice types, GDPR compliance for all entities in scope, SLA for processing time and uptime, data export rights on contract termination.
- ☐ **Issue RFP to shortlisted vendors**
Include a proof-of-concept requirement on your actual ERP version with a sample of your own historical invoices. A vendor who cannot demonstrate auto-matching on your data is not a viable candidate.
- ☐ **Evaluate vendor references**
Request references from implementations of comparable size in your sector. Verify auto-match rates achieved at 6 months and 12 months post-go-live — these are often significantly lower than headline claims.

☐ **Contract negotiation priorities**

Negotiate: exit rights and data portability, SLA penalty clauses, fixed implementation fee (not time and materials), Year 2+ pricing, and the right to conduct UAT before go-live acceptance.

Phase 2 — Programme Design

☐ **Invoice category mapping**

Map all invoice types to automation categories: PO-based (three-way match), non-PO (two-way or one-way match), recurring fixed amount, exceptions. Each category requires different configuration.

☐ **Approval hierarchy design**

Document the complete approval hierarchy including all delegation rules, absence cover, and escalation paths. Every undocumented exception discovered during UAT adds cost and timeline.

☐ **GL coding rules**

Define the coding logic for automated invoices: by supplier, by PO, by category. The more specific the rules, the higher the auto-match rate. Vague rules create exception queues.

☐ **Integration specification**

Document the integration specification between the AP automation platform and your ERP: field mapping, posting frequency, error handling, and reconciliation process. Get IT sign-off before build starts.

Phase 3 — Build and Test

☐ **OCR training**

Train the OCR on a representative sample of your actual invoices — minimum 200 invoices covering all major suppliers and invoice formats. OCR trained on generic samples performs significantly worse.

☐ **UAT test script execution**

Execute UAT against a documented test script covering: standard PO invoice end-to-end, non-PO invoice with approval, foreign currency invoice, credit note, duplicate invoice detection, and exception handling.

☐ **Parallel run**

Process 50 real invoices simultaneously through both the old and new system. Compare GL postings line by line. Any discrepancy must be investigated and resolved before go-live acceptance.

☐ **Go-live acceptance criteria**

Define written acceptance criteria before UAT begins: minimum auto-match rate (e.g. 75% at go-live), maximum processing time for matched invoices, exception rate, and ERP reconciliation accuracy.

Phase 4 — Go-Live and Hypercare

☐ **Supplier communication**

Notify all active suppliers of the new invoice submission requirements (format, reference fields, email address). Poor supplier communication is the most common cause of low auto-match rates in the first 90 days.

☐ **KPI monitoring**

Monitor daily for the first 2 weeks: auto-match rate, exception queue volume, processing cycle time, ERP posting accuracy. Escalate immediately if auto-match rate falls below acceptance criteria.

☐ **Hypercare protocol**

Maintain weekly vendor support calls for minimum 4 weeks. All P1 defects (ERP posting errors, system unavailability) must be resolved within 4 hours. P2 defects within 48 hours.

- ☐ **90-day post-implementation review**
Measure at 90 days: actual auto-match rate vs business case assumption, actual processing time vs baseline, exception rate trend, and user adoption rate. Compare to the original business case.

Auto-Match Rate Benchmarks

Timeline	Standard implementation	Optimised implementation
At go-live (Day 1)	60–70%	75–80%
30 days post-go-live	70–78%	80–85%
90 days post-go-live	78–85%	85–90%
12 months post-go-live	85–90%	90–95%

Benchmarks vary by invoice type mix, supplier compliance, and ERP environment. PO-based invoice environments typically achieve the higher end; non-PO heavy environments achieve the lower end.

About This Resource

Developed by **Mirela Dragulescu**, a finance transformation specialist with 9+ years delivering AP automation programmes across European markets including SAP, Oracle, and Dynamics environments.

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RELATED RESOURCES

The **Finance Automation Business Case Template** (premium, €39) provides the full ROI model for your AP automation business case. The **Finance Automation Readiness Assessment** (free) evaluates your readiness before vendor selection. Both available in the Resources section on MD Consulting's website.

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